

UNIT-3

Organizing

Organising is the process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationships for the purpose of enabling people to work most effectively together in accomplishing objectives.

Organizing refers to the process of arranging resources, tasks, and activities to achieve organizational goals effectively.

Benefits:

- Clear structure
- Defined Roles and Responsibilities
- Efficient Resource Allocation

Limitations:

- Rigidity
- Resistance to change
- Potential for bureaucracy

De-centralization and Delegation of Authority

De-centralization involves distributing decision-making authority throughout the organization.

Decentralization is the process of shifting control from one main group to several smaller ones. The decentralization of government, for example, gives more power to the individual states, rather than concentrating it at the federal level.

Delegation of authority is the process of assigning decision-making authority to lower levels of the organization.

Delegation is the process of distributing and entrusting work to another person. In management or leadership within an organisation, it involves a manager aiming to efficiently distribute work, decision-making and responsibility to subordinate workers in an organization

Benefits:

- Faster decision-making
- Empowerment of employees
- Better responsiveness to local needs

Limitations:

- Loss of control
- Potential for inconsistency in decision-making

Authority versus Power

- Authority is the legitimate right to make decisions and issue orders.
- Power is the ability to influence others and make things happen, regardless of formal authority.
- Authority is derived from the organizational structure, while power can be personal or situational.
- Authority refers to the legal and formal right to give commands and make decisions, while Power refers to the ability or potential for an individual to influence others and control their behaviour.

Mechanistic Versus Organic Organization

Mechanistic organizations

- Are characterized by centralized authority
- Formalized procedures
- Clear hierarchies
- Structure is hierarchical, rigid and has clear lines of authority, ideal for stable environments

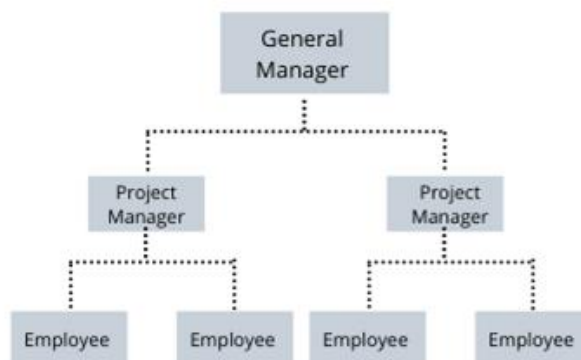
Organic organizations

- Are more flexible
- Decentralized
- Adaptable to change
- Flexible
- Focuses on employee empowerment
- Suitable for dynamic and uncertain environments.

Common Organizational Designs

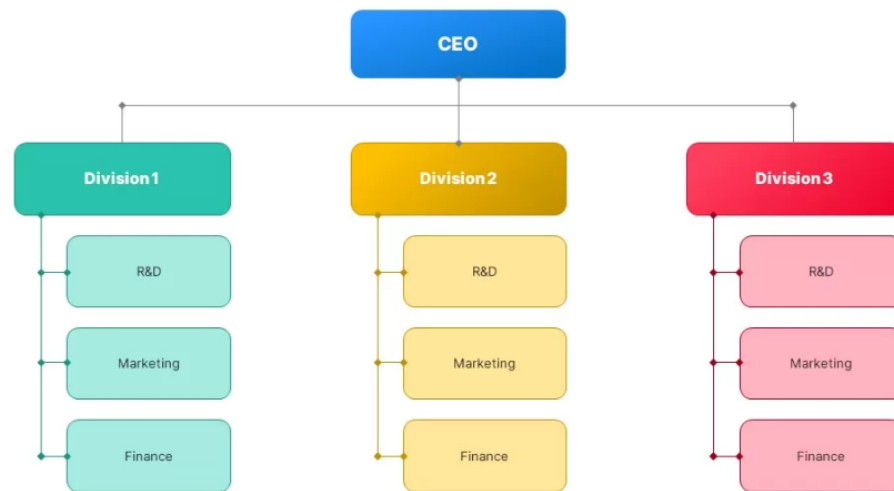
1. **Functional Structure:**

- Organizes employees into departments based on specialized functions or tasks (e.g., finance, marketing, operations).
- Promotes efficiency and expertise within each functional area.
- May lead to silos and coordination challenges across departments.



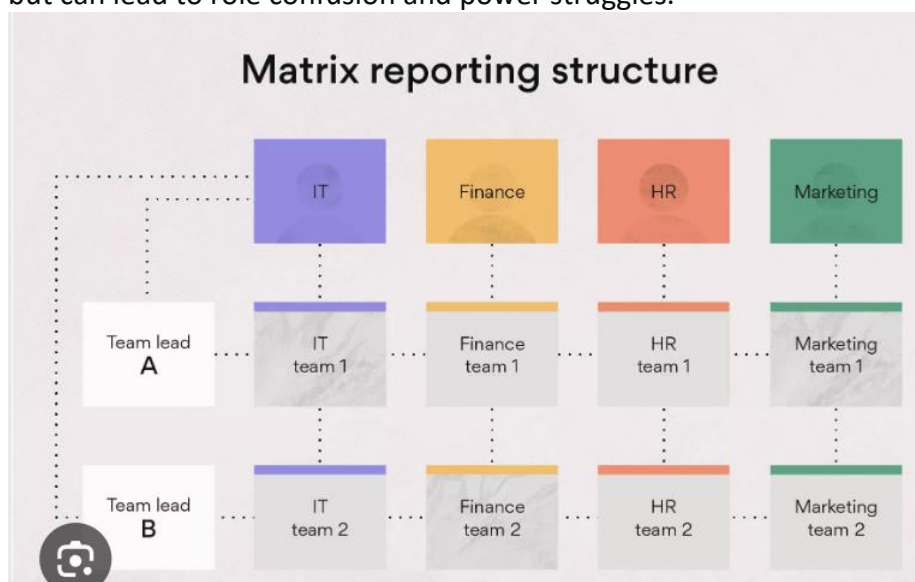
2. Divisional Structure:

- Divides the organization into semi-autonomous divisions based on products, services, geographic regions, or customer groups.
- Each division operates as a separate entity with its own functions such as marketing, finance, and operations.
- Facilitates focus and responsiveness to specific market segments but may result in duplication of resources.



3. Matrix Structure:

- Combines functional and divisional structures, creating dual reporting relationships.
- Employees report to both a functional manager (e.g., marketing manager) and a divisional manager (e.g., product manager).
- Enhances flexibility, cross-functional collaboration, and resource allocation but can lead to role confusion and power struggles.



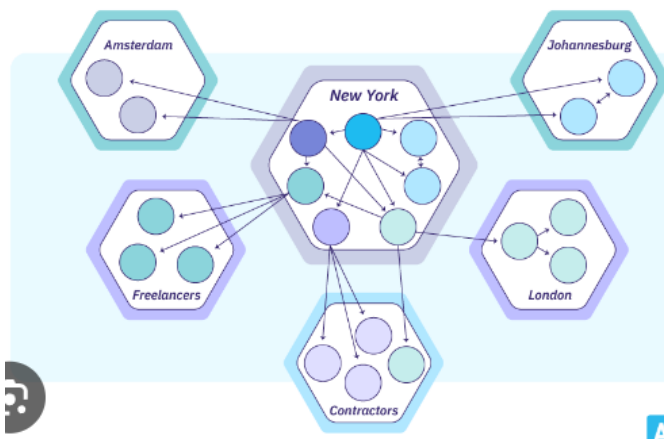
4. Virtual Organization:

- Operates primarily through digital platforms and remote collaboration tools, with a minimal physical presence.
- Relies on technology to connect dispersed employees, contractors, and partners.
- Offers flexibility, cost savings, and access to global talent but requires robust communication infrastructure and cybersecurity measures.

5. Network Structure:

- Relies on external partnerships, alliances, and outsourcing arrangements to perform various functions.
- Core organization coordinates and integrates activities with external partners who provide specialized services or resources.
- Offers flexibility, scalability, and access to external expertise but requires strong coordination and relationship management.

Network Organization Structure



6. Team-Based Structure:

- Organizes employees into self-managing teams responsible for specific tasks or projects.
- Teams have autonomy to make decisions and solve problems, fostering innovation and employee engagement.
- Promotes collaboration, accountability, and adaptability but may face challenges in team dynamics and coordination.



7. Boundaryless Organization:

- Eliminates traditional boundaries within and outside the organization, such as hierarchy, geography, and function.
- Encourages cross-functional teams, open communication, and fluid roles.
- Promotes innovation, knowledge sharing, and agility but may face challenges in maintaining coherence and accountability.

Contemporary Organizational Designs

Contemporary organization design is a type of business design that emphasizes speed, flexibility, and customer responsiveness. It is often seen in organizations that operate in fast-paced industries or in companies that are constantly innovating.

Businesses invest in organizational design because it allows them to compete better against large corporations by being more agile and flexible.

Characteristics:

- A focus on customer needs
- A flattened hierarchy
- Decentralization of authority
- An emphasis on team-based work

Types of contemporary organization designs

There are 5 types of contemporary organizational designs: Functional, divisional, matrix, team, and networking. Each type has its strengths and weaknesses, so it's important to choose the right one for your business.

1. Functional structure:

In a functional organization, the business is structured by grouping similar functions together within a department, usually aligned to a specific knowledge area. Each department has a specific function or set of functions to carry out. For example, the marketing department is responsible for creating and executing marketing campaigns. This type of structure is common in small businesses because it's simple to set up and manage.

2. Divisional structure:

A divisional structure is a type of organizational structure that groups people who work on similar products, services, or projects. This type of structure is also known as a product structure. Businesses often use it in the manufacturing industry, but it can be used by any business with multiple product lines to design its organization. This structure is also popular for organizations with multiple brands, where each brand is structured independently.

3. Matrix structure:

A matrix structure is a type of organizational design in which employees report to more than one supervisor or manager. Companies can do this in several ways, such as functional/departmental lines, project teams, and regions. Matrix structures can be beneficial because they promote communication and collaboration between employees. However, they can also be disadvantageous because they can lead to confusion and conflict, with matrix structures notorious for high red tape or bureaucracy levels. It's usually referred to as solid and dotted reporting lines in a matrix structure.

4. Team structure:

The purpose of a team structure is to group different skills into a team with one goal or objective. To accomplish this, they will employ members from various departments who come together to accomplish any task or explore new opportunities. The intention is to lower barriers that exist between departments and improve cooperation when it comes to solving ongoing problems. In a team structure, it is not uncommon for teams to form, reform and dissolve on a continuous basis.

Contingency Factors

The main contingency factors are **size, task uncertainty, and diversification**. Each organization varies on its levels on these contingency factors and on corresponding structural variables.

Size: Size refers to the magnitude or scale of an organization, typically measured by the number of employees, revenue, or market share.

Task Uncertainty: Task uncertainty refers to the unpredictability and ambiguity inherent in an organization's environment or tasks.

Diversification: Diversification refers to the variety of products, services, markets, or industries in which an organization operates.

Formal and Informal Organization

Aspect	Formal Organization	Informal Organization
Definition	A formal organization refers to the officially recognized structure, roles, and procedures established by management.	An informal organization consists of unofficial relationships, networks, and communication channels that emerge spontaneously among employees.
Establishment	Established through formal rules, policies, and procedures documented in organizational charts, job descriptions, and official guidelines.	Emerges naturally through social interactions, shared interests, and personal connections among employees.
Structure	Typically follows a hierarchical structure with clear lines of authority, roles, and responsibilities.	Lacks a defined structure and operates based on social norms, trust, and informal agreements among members.
Communication	Communication flows primarily through formal channels established by management, such as memos, meetings, and official reports.	Communication often occurs through informal channels like gossip, word-of-mouth, and social interactions.
Decision-Making	Decision-making processes are formalized and follow established procedures, with authority delegated from higher to lower levels of the hierarchy.	Decision-making may be decentralized and based on consensus, influence, or personal relationships rather than formal authority.

Control	Control mechanisms include rules, regulations, and performance metrics monitored by management to ensure compliance and accountability.	Control is less formalized and may rely on social norms, peer pressure, and informal sanctions to maintain order and cohesion.
Adaptability	Tends to be less adaptable to change due to rigid structures and formal procedures that require time-consuming adjustments.	Often more adaptable to change as informal networks can quickly adapt and respond to new circumstances or challenges.
Formalization	Emphasizes formalization with clearly defined roles, procedures, and policies to ensure consistency, efficiency, and accountability.	Less formalized with greater flexibility, allowing members to adapt to individual preferences, needs, and circumstances.
Visibility	Visible and acknowledged by management, documented in organizational charts, and officially recognized as part of the formal structure.	Less visible to management, often overlooked or underestimated, but plays a significant role in shaping organizational culture and dynamics.

Organization Chart, Structure, and Process

Organization chart visually represents the formal structure, showing reporting relationships and hierarchy. An organizational chart is a visual representation of a company's internal structure. Also known as organograms or org charts, these assets show how teams and departments are organized, showcase relationships across an organization and each individual's role and responsibilities.

Structure refers to the arrangement of roles, responsibilities, and relationships. An organizational structure defines how job titles, roles, and responsibilities are assigned within a company. It helps determine who reports to whom, and who makes decisions about what. Startups often have a matrix organizational structure, with different departments working together on projects.

Process involves the flow of activities, information, and decision-making within the organization.

The Learning Organization

In business management, a learning organization is a company that facilitates the learning of its members and continuously transforms itself. The concept was coined through the work and research of Peter Senge and his colleagues.

Learning organizations are organizations where people continually expand their capacity to create the results that they truly desire, where new and expansive patterns of thinking are nurtured, where collective aspiration is set free and where people are continually learning how to learn together.

Learning organizations continuously adapt and improve through knowledge creation, sharing, and application.

Purpose:

- Enhance competitiveness
- Innovation
- Adaptability

Departmentalization by Different Strategies

Departmentalization is the process of grouping activities and people into departments or units based on certain criteria. Here are different strategies for departmentalization:

1. **Functional Departmentalization:** Grouping activities based on functions or roles (e.g., marketing, finance, operations). Benefits include specialization and efficiency within each department, but it may lead to coordination challenges across functions.

2. **Product Departmentalization:** Grouping activities based on specific products or product lines. This allows for focused attention on each product line, but it may result in duplication of functions across products.
3. **Geographical Departmentalization:** Grouping activities based on geographic regions or locations. This strategy facilitates customization based on regional needs but may lead to redundancy in functions.
4. **Customer Departmentalization:** Grouping activities based on types of customers or market segments served. This allows for tailored services or products, but it may increase complexity in managing diverse customer needs.
5. **Matrix Departmentalization:** Combining two or more forms of departmentalization within the same organization. This can provide both functional expertise and product/customer focus but may lead to dual reporting relationships and potential conflicts.

Line and Staff Authority

Line Authority: Line authority represents the direct chain of command from top management to lower levels of the organization. It gives managers the power to make decisions, issue orders, and oversee the work of subordinates within their respective departments or units.

Benefits

- Clear chain of command
- Prompt decision-making
- Accountability
- Streamlined communication

Limitations

- May lead to overburdened managers
- Lack of specialization
- Limited staff involvement in decision-making

Staff Authority: Staff authority provides support, advice, and expertise to line managers to help them fulfill their responsibilities effectively. Staff positions typically do not have direct authority over operations but offer specialized knowledge and assistance to improve decision-making and problem-solving.

Benefits

- Provides specialized expertise and support to line managers
- Enhances decision quality
- Fosters innovation.

Limitations

- May create conflicts with line managers
- Unclear accountability
- Potential for staff to overstep their authority

De-Centralization and Delegation of Authority Versus Staffing

Decentralization: Decentralization involves distributing decision-making authority throughout the organization, empowering lower levels of management to make decisions.

Delegation: Delegation of authority is the process of assigning decision-making authority from a manager to a subordinate.

Staffing: Staffing is the process of hiring eligible candidates in the organization or company for specific positions. In management, the meaning of staffing is an operation of recruiting the employees by evaluating their skills, knowledge and then offering them specific job roles accordingly.

Relationship: De-centralization and delegation of authority affect how staffing decisions are made. In centralized organizations, staffing decisions may be made by top management, whereas in decentralized organizations, lower-level managers may have more autonomy in staffing decisions.

Human Resource Inventory

Human resource inventory refers to a systematic collection of information about an organization's employees, including their skills, qualifications, experience, and performance.

The inventory helps HR professionals and managers assess the capabilities and potential of the workforce, identify skill gaps, plan for succession, and make informed decisions regarding recruitment, training, and development. (Purpose)

HR inventory can be maintained through databases, spreadsheets, or specialized software systems. It typically includes information such as employee demographics, educational background, training records, performance evaluations, and career aspirations. (Method)

Job Analysis

Job analysis is the process of systematically gathering, documenting, and analyzing information about the duties, responsibilities, tasks, and requirements of a particular job.

Job analysis provides essential data for various HR functions, including recruitment, selection, performance appraisal, training, and compensation. It helps ensure that job descriptions are accurate, relevant, and aligned with organizational goals. (Purpose)

Job analysis techniques include interviews, questionnaires, observation, and task analysis. Information collected may include job tasks, skills, knowledge, abilities, qualifications, physical demands, and working conditions. (Method)

Job Description

A job description is a formal document that outlines the duties, responsibilities, qualifications, and other essential details of a specific job position within an organization.

Job descriptions serve as a foundational tool for recruitment, performance management, training, and legal compliance. They provide clarity to employees regarding their roles and expectations and help managers assess job performance and provide feedback. (Purpose)

Recruitment

Recruitment is the process of attracting, sourcing, evaluating, and selecting qualified candidates to fill job vacancies within an organization.

Recruitment aims to ensure that the organization has a pool of talented and capable individuals to meet its current and future staffing needs. It involves creating awareness about job opportunities, generating interest among potential candidates, and ultimately hiring the best-fit candidates. (Purpose)

Recruitment methods vary and may include internal promotions, employee referrals, job postings, campus recruitment, social media, professional networks, recruitment agencies, and headhunting. The process typically involves screening resumes, conducting interviews, assessments, and reference checks. (Method)